

Knipp Law Office, PLLC

Joshua T. Knipp (NC/SC) • A. Crosby Livingston, III (NC/SC) • Tamara R. Cornish (NC) • Nicolas H. Lovelace (NC)
J. Summer Hunt (NC/SC) • Nicole R. Arrington (NC) • Colin B. Azzam (NC) • Hank Harrawood (NC)
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CLIENT REPRESENTATION AGREEMENT

Dear Client:

Thank you for selecting Knipp Law Office, to assist with your upcoming real estate purchase. We look forward to making this process as smooth and stress free as possible. Please review the information below and sign this letter where indicated. Please return the below items via email or fax to us as soon as possible.

Executed copy of this letter
Completed Information Sheet

Who We Represent (Including Disclosure of Limited Representation):

In a typical closing scenario, the firm's representation is limited as follows:

1. For the buyer, we provide a title search to ensure you acquire marketable/insurable title, contract review to ensure compliance with all contract terms, and document review at closing to ensure your understanding of the loan documentation. We are not responsible for investigating your due diligence obligations under the contract. We will order an HOA resale demand, when applicable, but may not receive it prior to the end of your due diligence period. You are responsible for confirming any future special assessments with the HOA as those do not appear on resale demands.
2. For the lender, we ensure full compliance with all loan closing instructions.
3. For the seller, it is typically requested that our firm prepare the customary seller's documents including, but not limited to, warranty deeds, lien waivers, non-foreign affidavits, and boundary line agreements. We may also prepare additional documents in specific circumstances, such as a promissory note and deed of trust in the case of seller financing. North Carolina law allows us to do this work upon disclosure to all parties of such limited representation.

The above representation notwithstanding, our firm operates as a neutral party and does not negotiate for any side to the transaction vis-à-vis terms of the contract or loan agreement. You must settle any dispute you have with either the seller or lender prior to closing.

We do not provide buyers or sellers professional tax advice associated with your transaction. Tax considerations of your property transfer should be evaluated by an independent tax professional.

Title Examination and Insurance:

The North Carolina Marketable Title Act requires a 30-year title examination of the public records regarding the property. However, if we find an existing policy of title insurance on the property, we will "tack" to that policy. This means that our title examination would begin with the date and time of issuance of the policy. While defects in title occurring prior to the search period would not be found and reported by us if we "Tack", they will be covered by the existing title policy, so you will receive the same title insurance coverage as if we had conducted a full 30-year title examination. Similarly, if we locate a deed out of a developer during the 30-year period, we will begin our search with that developer's deed, and as with "tacking", you will receive the same title insurance coverage as if we had conducted a full 30-year title examination. These

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practices are standard in North Carolina and will reduce the cost of your title work. If you object to this practice, please inform our office immediately as a full 30-year search will be required and takes additional time.

We will request a standard coverage insurance policy. An enhanced policy may be available to you at an additional cost. An enhanced policy provides increased coverage for homeowners for building permit violations, zoning violations, encroachments, subdivision violations, restrictive covenant violations, encroachments, and post-closing forgeries or adverse possession. These policies are only available on pre-existing single-family homes or condominiums that have been platted and are not used as rental property. If you would like an enhanced policy, please contact our office.

Surveys:

To help you make an informed decision, we want to explain why we recommend getting a survey. We understand surveys can be expensive, and you would rather spend that money elsewhere. Before you decide it's out of your budget, consider the following:

1. The attorney never sees the property you are purchasing. We are transferring what the seller owns according to public record and your contract. Only a surveyor can determine if setbacks have been violated, the existence and location of easements and encroachments, or there is an error in acreage.
2. Encroachments on property lines often result in neighbor disputes. These can only be discovered with a survey.
3. If actual access to the property is important to you, a survey is required for the title company to insure over that access to the property. Actual access means that the title company will insure over the location of access to the property as shown by a survey. Legal access simply means that you have access somewhere on the property to a public road or legal Right of Way across other land. Legal access does not mean the easiest or least expensive access to your property.
4. Just because it's a subdivision doesn't mean that the property lines haven't changed. Often, your title work will not be complete until a week before your closing date. If title work reveals an issue and the title company requires that you get a survey for title insurance, you'll have to wait for a survey which may delay closing. Keep in mind that if you are financing the property, you must pay for title insurance for the benefit of the lender.
5. If you are purchasing land with the intent to build, it's better to understand if there are any limitations on where you can build. Your survey would indicate any setback lines on the property that you must adhere to, or any easements that impact where you can build.
6. A title company will exclude coverage to you for anything that a current survey would reveal.
7. There may be situations where we will not complete your closing if you do not have a survey completed.

If you elect not to have a survey prior to purchasing the property, we will have you sign an Affidavit at closing that holds our office and the title company harmless from anything a current survey of the property reveals. If you need a referral for a surveyor, please contact our office.

Closing Figures, Closing Funds, and Disbursement of Funds:

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Under North Carolina's Good Funds Settlement Act and State Bar regulations, amounts due from you at closing, including funds from your lender, must take one of the following forms: certified check; cashier's check, teller's check or official bank check, drawn on or issued by a FDIC-insured financial institution; or money order up to a limit of \$5,000. Please make checks payable to **Knipp Law Office, PLLC**.

PLEASE NOTE: IF FUNDS DUE FROM YOU ARE IN EXCESS OF \$5,000.00, FUNDS MUST BE WIRED TO OUR TRUST ACCOUNT. NO OTHER FORM OF FUNDS WILL BE ACCEPTED! NO EXCEPTIONS!

DUE TO THE INCREASING NUMBER OF WIRE FRAUD SCHEMES, PLEASE CALL OUR OFFICE TO CONFIRM ALL WIRING INFORMATION PRIOR TO INITIATING YOUR WIRE.

North Carolina law also restricts when we may disburse funds. Our firm may not disburse checks or proceeds from your closing until the deposit of all closing funds into our trust account has been confirmed and the appropriate documents have been filed with the Register of Deeds. In the event any changes in the status of title to the property are discovered after closing, or if any funds delivered at closing are determined to be uncollectible, we will withhold disbursement of settlement checks and proceeds pending the resolution of such matter.

Excess Funds:

We are permitted to keep any excess funds of \$10.00 or less that results from minor changes to your final figures at closing. Likewise, if you are short \$10.00 or less at closing, we will not require that you make up those funds.

Miscellaneous Items Worth Noting:

Certain charges on the settlement statement, including but not limited to courier and overnight fees and recording fees, may not reflect the actual costs for such services and in fact may be more than the actual costs billed to our firm. Any such difference is intended to cover the administrative aspects of handling the particular item of service.

Termination Fee:

Please note that our office orders the title search from a third-party abstractor upon receipt of the contract. If the contract is terminated and the abstractor has already begun performing the title search, payment of the invoice will remain due from you.

Please plan to bring the following items to closing:

- An unexpired, government-issued, photographic ID such as a state driver's license or U.S. passport
- Original power-of-attorney (when applicable) that has been approved in advance by our firm and your lender and which will be used at closing
- Original documents required by your lender to satisfy any remaining loan contingencies as discussed above

Keys/Possession:

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The Seller is not required to give you the keys at the closing table. The Seller does not have to give possession of the property until the deed is recorded which cannot occur until we have all funds in our trust account and have satisfied all the Title Company and Lender requirements. You are responsible for coordinating the receipt of the keys to the property.

Electronic Records Storage:

All documents and correspondence relating to this closing will be stored as electronic images. The electronic image shall be deemed to serve as the original of the instrument or document thereafter. A fee may be charged for copies of your file.

Communication:

Knipp Law Office may send newsletters or other communication to you regarding our services after your transaction closes. You will have the ability to opt out of receiving newsletters or updates from our office.

Thank you for taking the time to review the above information. Please contact our office with your questions or for more information.

Respectfully,
Knipp Law Office, PLLC

**MY (OUR) SIGNATURE(S) BELOW CERTIFIES RECEIPT, ACKNOWLEDGEMENT, AND
CONSENT TO THE ABOVE DISCLOSURES AND TERMS OF OUR REPRESENTATION BY
KNIPP LAW OFFICE, PLLC.**

***I FURTHER ACKNOWLEDGE THAT I MUST CALL KNIPP LAW OFFICE TO CONFIRM WIRING
INSTRUCTIONS WHEN WIRING FUNDS TO KNIPP LAW OFFICE.***

By (Sign): _____

By (Sign): _____

Name (Print): _____

Name (Print): _____

Date: _____

Date: _____

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